Figure 7.5: Russell 2000 from 2004–2025

Source: Based on data from Yahoo Finance.

- **Investing for 1–3 years:** Choose cash or cash equivalents and bonds. Investors in training know that if they need the money in the next one to three years, they shouldn't put it in the stock market due to the short-term fluctuations.
- **Investing for 3–10 years:** Choose bonds and funds for diversification. Investors in training may choose a few individual stocks based on their risk tolerance.
- **Investing for 10–20-plus years:** Choose bonds, funds and individual stocks based on their risk tolerance. Investors in training investing over the long term have a portfolio that can handle some riskier investments (e.g. growth stocks) as time is 'more forgiving'.

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